



Insured	Dustin Potter	Date of Loss	04/05/2023
Claim Number	SWYCBHO30809	Cause of Loss	Hail
Policy Number	AL01-032552-05	Loss Location	802 Legend Spring Dr Katy TX 77494 USA

Por favor léalo cuidadosamente. La información en esta carta afecta sus derechos cubiertos por la póliza de seguro que se menciona abajo. Si usted no puede leer esta carta o no entiende alguna porción de la misma, es muy importante que usted solicite consejo de alguna persona que lo pueda interpretar y explicarle el contenido de este documento.

May 19, 2023

Settlement of Claim and Explanation of Coverage

Dear Dustin Potter:

Swyfft is handling this claim on behalf of Clear Blue Insurance Company.

Attached is our statement of loss for payment in the amount of **\$7,875.04**. The payment outlined below represents settlement of damages under the following Coverage(s):

	Building	Other Structures	Total
Replacement Cost	\$21,081.15	\$942.36	\$22,023.51
Non-Recoverable Depreciation (-)	(\$4,108.83)	(\$179.94)	\$4,288.77
Subtotal	\$16,972.32	\$762.42	\$17,734.74
Deductible (-)	(\$9,859.70)	(\$0.00)	\$9,859.70
Net Payment	\$7,112.62	\$762.42	\$7,875.04

Note: Your settlement payment and estimate of damages are being sent to you under separate cover.

The settlement payment represents the unrestricted tender of the amount we believe you are owed as a result of your loss. You are permitted to use this payment at this time. If you believe you are owed more, please send us additional documentation in support of your claim. If we cannot agree on the final settlement amount of your claim, your policy provides the right to invoke appraisal. This is an independent evaluation of damages used to resolve the dispute over scope of price of repairs. Please contact us if you would like to discuss how to proceed with appraisal. This is also outlined in the Section I- Conditions portion of your policy.

Before Starting Repairs

Before repairs begin, please review your contractor's estimate. If it exceeds the estimate we provided to you, please contact us prior to beginning the work.

Not All Damages Are Covered

Our investigation determined that the cause of damage to your window screens, siding, and fence gate is not covered by your policy. Your window screens, siding, and fence gate were damaged from wear and tear and mechanical damage (i.e., non-storm related impact). The scope of covered damages is memorialized in the attached estimate.

Your policy, **HOMEOWNERS 3 – SPECIAL FORM – HO 00 03 05 11**, states in part:

SECTION I – PERILS INSURED AGAINST

A. Coverage A – Dwelling And Coverage B – Other Structures

We insure against direct physical loss to property described in Coverages A and B.

2. We do not insure, however, for loss:

c. Caused by:

(6) Any of the following:

(a) Wear and tear, marring, deterioration;

(b) Mechanical breakdown, latent defect, inherent vice or any quality in property that causes it to damage or destroy itself;

SECTION I – EXCLUSIONS

B. We do not insure for loss to property described in Coverages A and B caused by any of the following. However, any ensuing loss to property described in Coverages A and B not precluded by any other provision in this policy is covered.

3. Faulty, inadequate or defective:

a. Planning, zoning, development, surveying, siting;

b. Design, specifications, workmanship, repair, construction, renovation, remodeling, grading, compaction;

c. Materials used in repair, construction, renovation or remodeling; or

d. Maintenance;

of part or all of any property whether on or off the "residence premises".

Roofing Materials Payment Schedule

Your policy carries an endorsement that changes the policy with respect to a covered loss for “roofing materials” caused by the peril of windstorm or hail. As such, the damages involved in this claim are subject to the actual cash value loss settlement, per the Roofing Materials Payment Schedule in your policy. The calculation of actual cash value is **49%** based on the age of your roof of **17** years, and includes depreciation, as determined by us, to property, materials, labor, unit costs, associated costs, overhead, profit, taxes and fees. Additionally, payment for a covered loss for “roofing materials” caused by the peril of windstorm or hail will not include any increased cost due to the enforcement of building codes, ordinances or laws regulating or requiring the construction, reconstruction, maintenance, replacement, repair, relocation or demolition of building structures or other structures.

The endorsement, **ROOFING MATERIALS PAYMENT SCHEDULE - SW HO ACV ROOF 06 21**, states in part:

DEFINITIONS

The following definition is added:

“Roofing Materials”

“Roofing Materials” means the roof surface material (composition shingle, slate, tile, wood, metal, all other roof surface material) and all other roofing components of a building or other structure covered under **Coverage A – Dwelling or Coverage B – Other Structures**. This includes but is not limited to:

- a. Flashings, caps, vents, ridge vents, drip edges, scuppers and ice shields;
- b. Sheathing, felt and membranes;
- c. Shingles, tile, sheets or shakes (regardless of system materials);
- d. Tar, tar paper, asphalt or gravel;
- e. Modified bitumen, bitumen, rubber rolled-roofing, built-up or sprayed polyurethane foam roofing;
- f. Foam inserts, insulation, underlayment and elastomeric coating;
- g. Cupola, finials, and snow guards;
- h. Battens, counter battens, bird stops, and gravel stops;
- i. Light-transmitting structures, such as skylights, roof lights and roof windows; and
- j. Coatings, adhesives, adherents and other finishing materials for “roofing materials”.

SECTION I – CONDITIONS

A covered loss for “roofing materials: is caused by the peril of windstorm or hail will be subject to “actual cash value” loss settlement, per the Roofing Materials Payment Schedule above. [See policy]

Payment for a covered loss for “roofing materials” caused by the peril of windstorm or hail will not include any increased cost due to the enforcement of building codes, ordinances or laws regulating or requiring the construction, reconstruction, maintenance, replacement, repair, relocation or demolition of building structures or other structures.

Coverage under this endorsement will not trigger, cause, or result in the application of any Additional Coverage for Ordinance or Law, if provided in this policy, regardless of whether any building code, ordinance or law applies.

The loss settlement conditions that pertain to “repair or replacement cost without deduction for depreciation” are changed as noted below:

D. Loss Settlement

Paragraph 1.c. is replaced by the following:

- c. Structures that are not buildings, including their “roofing materials”;

The following is added to Paragraph 1.:

- e. “Roofing materials” on structures that are buildings if a loss to the “roofing materials” is caused by the peril of windstorm or hail.

In Paragraph 2., the introductory statement “Buildings covered under Coverage A or B at replacement cost without deduction for depreciation, subject to the following:” is replaced by the following:

- 2. Buildings covered under Coverage A or B, except for their “roofing materials” if the loss to the “roofing materials” is caused by the peril of windstorm or hail, at replacement cost without deduction for depreciation, subject to the following:

The remainder of Paragraph 2., remains unchanged.

All other provisions of this policy apply.

In making this investigation we expressly reserve all of the rights, conditions, and defenses under Policy AL01-032552-05. In bringing these policy provisions to your attention, we do not intend to waive compliance with all terms and conditions of the policy. The policy language quoted above is a summary. Please refer to your policy for complete policy language.

Swyfft nor Clear Blue Insurance Company does not, by this letter or otherwise, waive any rights or defenses. All rights and defenses of the company are reserved.

Should you have any additional information you would like for us to consider or have questions regarding your loss, please contact the undersigned at the information shown below.

Sincerely,

Silena Stratford
Independent Adjuster

phone: 877-799-3389 extension: 3002
email: silena.stratford@swyfft.com

Any person who knowingly presents a false or fraudulent claim for the payment of a loss is guilty of a crime and may be subject to fines and confinement in state prison.

If this document contains an excerpt from a Clear Blue Insurance Company policy ("the Policy") it is provided here for information purposes only. This excerpt is not the official version of the Policy. The official version of the Policy is the policy issued to the Insured on the policy effective date. In the event there is inconsistency between this document and the Policy, the Policy shall serve as the official version.